

# Canara Bank

CANBK

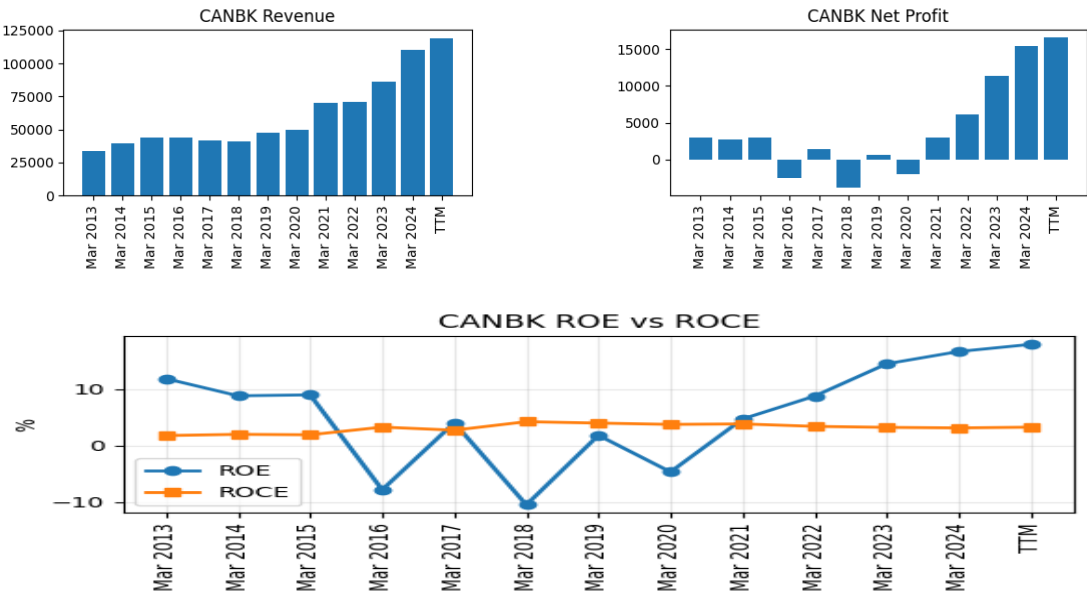
## Key Financial Metrics

|                               |                                 |                               |
|-------------------------------|---------------------------------|-------------------------------|
| <b>ROE</b><br>17.99%          | <b>ROCE</b><br>3.29%            | <b>Debt / Equity</b><br>14.87 |
| <b>Revenue CAGR</b><br>11.29% | <b>FCF Conversion</b><br>97.69% | <b>Quality Score</b><br>39.41 |

## Company Profile

|                          |                     |
|--------------------------|---------------------|
| <b>Company</b>           | Canara Bank         |
| <b>Sector</b>            | Financials          |
| <b>Industry</b>          | Public Sector Banks |
| <b>Market Cap (■ Cr)</b> | 496,415.88          |
| <b>P/E Ratio</b>         | 36.74               |
| <b>P/B Ratio</b>         | 12.61               |
| <b>Dividend Yield</b>    | 3.81%               |

## Financial Performance



## AI Investment Summary

Canara Bank currently faces multiple financial challenges that increase investment risk. It currently has healthy profitability, average capital efficiency, steady revenue growth, high quality cash-flow quality and elevated leverage. The overall financial quality score is 39.4/100. Key strengths include: Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.; Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Operating profit margin above 25% indicates strong pricing power and cost discipline.. Key risks include: High leverage relative to equity can restrict future capital flexibility.; Return on capital employed below 10% indicates weak capital efficiency.; Low interest coverage indicates potential difficulty servicing debt if earnings fall.. Investment recommendation: Reduce. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

| Pros                                                                                                                                                                                                                                                                                                                                                                                     | Cons                                                                                                                                                                                                                                                                                                          |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>• Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.</li><li>• Profits are compounding faster than revenue, indicating improving operating leverage and scalability.</li><li>• Operating profit margin above 25% indicates strong pricing power and cost discipline.</li></ul> | <ul style="list-style-type: none"><li>• High leverage relative to equity can restrict future capital flexibility.</li><li>• Return on capital employed below 10% indicates weak capital efficiency.</li><li>• Low interest coverage indicates potential difficulty servicing debt if earnings fall.</li></ul> |

Investment Recommendation

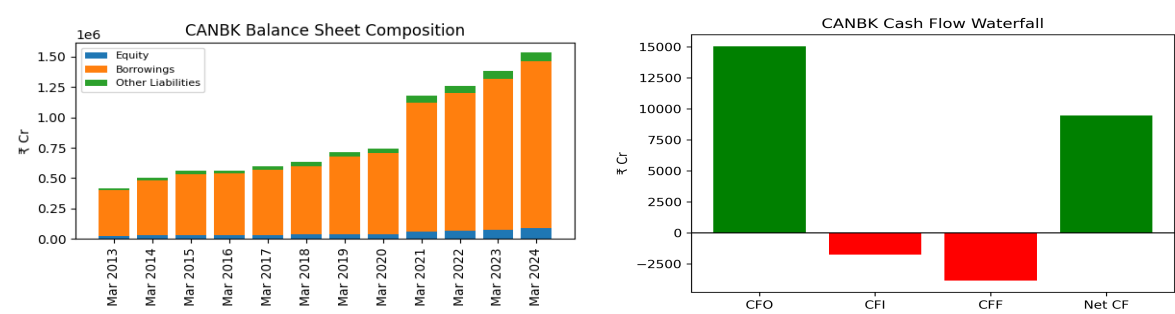
|                |        |
|----------------|--------|
| Recommendation | REDUCE |
| Risk Level     | HIGH   |
| Confidence     | LOW    |

Recommendation Reason:

The recommendation is based on an adjusted financial score of 39.4/100, supported by 3 identified strengths, 3 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 39.4

Balance Sheet & Cash Flow



Financial Health

|               |          |
|---------------|----------|
| Profitability | Moderate |
| Growth        | Strong   |

|           |          |
|-----------|----------|
| Cash Flow | Moderate |
| Leverage  | Weak     |
| Valuation | Fair     |

Capital Allocation

Shareholder Returns